

to be extracted under entirely different conditions from those obtaining in the past. A large profit-sharing royalty would be payable on the sulphur produced from the new project, whereas the old Bryanmound was owned outright by Freeport and hence its profits accrued 100% to the company.

In addition to this known element of higher cost, great stress must be laid also upon the fact that the major future profits of Freeport were now expected from a *new project*. The Grande Ecaille property was not yet equipped and in operation, and hence it was subject to the many hazards that attach to enterprises in the development stage. The cost of production at the new mine might conceivably be much higher, or much lower, than at Bryanmound. From the standpoint of security analysis the important point is that, where two quite different properties are involved, you have two virtually separate enterprises. Hence the 1928–1932 record of Freeport Texas was hardly more relevant to its future history than were the figures of some entirely different sulphur company, *e.g.*, Texas Gulf Sulphur.

Returning once more to the business man's viewpoint on security values, the Freeport Texas exhibit suggests the following interesting line of reasoning. In June 1933 this enterprise was selling in the market for about \$32,000,000 (25,000 shares of preferred at 125 and 730,000 shares of common at 40). The major portion of its future profits were expected to be derived from an investment of \$3,000,000 to equip a new property leased from three large oil companies. Presumably these oil companies drove as good a bargain for themselves as possible in the terms of the lease. The market was in effect placing a valuation of some \$20,000,000, or more, upon a new enterprise in which only \$3,000,000 was to be invested. It was possible, of course, that this enterprise would prove to be worth much more than six times the money put into it. But from the standpoint of ordinary business procedure the payment of such an enormous premium for anticipated future results would appear imprudent in the extreme.⁴

Evidently the stock market—like the heart, in the French proverb—has reasons all its own. In the writers' view, where these reasons depart

⁴ Since the Freeport Texas preferred issue was relatively small, representing less than one-tenth of the total market value of the company, this analysis would not call into question the safety of the senior issue, but reflects only upon the soundness of the valuation accorded the common stock—judged by investment standards. After 1933 the company did in fact encounter serious problems of production, which held down the earnings and depressed the market price, but these problems were later solved. Yet the maximum earnings attained by 1940—\$3.30 per share in 1937—could scarcely justify the price of 49 paid by speculators in 1933.